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Exp : 7 Establishing Metrics (KPIs and KRIs)

Aim

To configure a risk measurement method in Eramba and establish measurable risk indicators using Likelihood, Impact, and Risk Score.

Procedure

1. Navigate to **Risk Management → Settings → Calculation Method**.
2. Select the **Threshold** calculation method.
3. Enable the **Threshold** method.
4. Verify that the calculation uses *Likelihood* × *Impact*.
5. Ensure the required Likelihood and Impact classifications are configured.
6. Save the calculation method.
7. Open **Business Risks**.
8. Open a configured risk, such as **Business Interruption**.
9. Navigate to the **Analysis** section.
10. Verify the **Risk Analysis Classification** and the resulting **Risk Analysis Score**.

Output

The Threshold calculation method was successfully configured using a Likelihood × Impact matrix. The system calculates a numerical risk score based on the selected classifications.

Fig 7.1 _ Threshold Calculation Method Configuration (Likelihood × Impact Matrix)

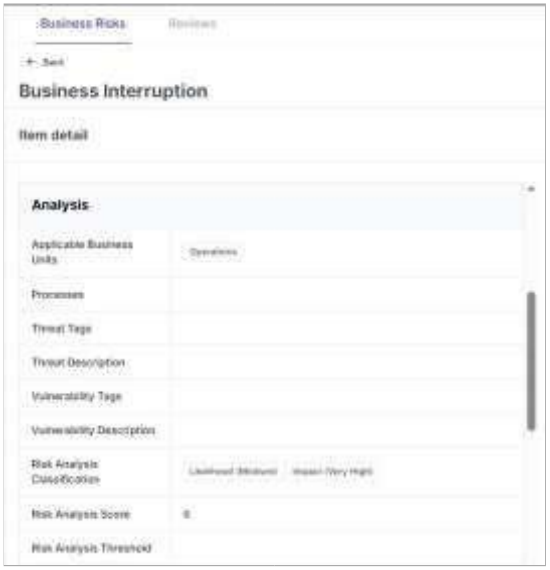


Fig 7.2 _ Risk Analysis Classification & Score (Business Interruption)

Result

The risk measurement system was successfully established. For the selected Business Risk, Likelihood (Medium) + Impact (Very High) produced a Risk Analysis Score of 6, demonstrating that risk indicators can be measured consistently.